

Circular P-01 — Revised Concentration Risk Policy — Reduced Single Counterparty Limits

Reference:	FRA/P/2025/001	Issue Date:	05 Apr 2025
Effective Date:	01 Aug 2025	Response Deadline:	30 Jun 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. Policy Change

Single counterparty exposure limit REDUCED from 25% to 15% of Tier 1 capital for non-sovereign counterparties. Sector concentration limit reduced from 40% to 30% of total loan book. New geographic concentration limit of 35% per non-home jurisdiction. This supersedes all previous concentration risk guidance.

2. Transition

Firms exceeding new limits must submit a Remediation Plan by 30 Jun 2025. No new exposures breaching the new limits may be entered after 1 Jun 2025. Full compliance with new limits required by 31 Dec 2025.

3. Reporting

Breaches of new limits must be reported to the Authority within 24 hours. Revised Concentration Risk Report (Form FRA-CR-001) must be used from 30 Sep 2025 period.